IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP/CAA/38/2024
In
CA(CAA)/58/2022
In
IBA/785/2019

S Rajendran,
Liquidator of Cape Engineers Private Limited,
2nd Floor, Hari Krupa, 71/1, Mc Nichols Road,
(off Poonamallee High Road) Chetpet,
Chennai, Tamil Nadu - 600 031.

…Applicant

Along with

IA(CA)/161(CHE)/2024
In
CP(CAA)/38(CHE)/2024
In
CA(CAA)/58(CHE)/2022
In
IBA/785/2019

(Under Sections 230 to 232 of the Companies Act, 2013 read with applicable provisions of the Insolvency and Bankruptcy Code, 2016)

In the matter of ***CAPE ENGINEERS PRIVATE LIMITED***

1. M. Karunanithi,
Shareholder and Suspended Director,
Residing at 4/25, East Street, Vadakoor, Theroor,
Kanyakumari, Tamil Nadu - 629 704.

2. S. Ramanathan,
Shareholder and Suspended Director,
Residing at 2/39, Theroor,
Kanyakumari, Tamil Nadu - 629 704.

3. M. Arumugam,
Shareholder and Suspended Director,
Residing at 3/94, East Street, Vadakoor, Aralvoimozhi,
Kanyakumari, Tamil Nadu - 629 704.

… Applicants/ Objectors

Versus

S. Rajendran,
Liquidator of Shree Ganesh EPC Private Limited,
2nd Floor, Hari Krupa, 71/1, Mc Nichols Road,
(off Poonamallee High Road) Chetpet,
Chennai, Tamil Nadu - 600 031

… Respondent

Order Pronounced on ***5th June 2025***

CORAM
SHRI JYOTI KUMAR TRIPATHI, MEMBER (JUDICIAL)
SHRI RAVICHANDRAN RAMASAMY, MEMBER (TECHNICAL)

Present

In CP(CAA)/38(CHE)/2024
For Petitioner/ Liquidator : Ms. M S Elamathi, Ms. R V Yajura Devi and Mr. Gautham Ram Vittal, Advocates

In IA(CA)/161(CHE)/2024
For Applicants : Mr. Pawan Jhabakh, Mr. Ashwin Raman, Advocates
For Respondent/ Liquidator : Ms. M S Elamathi, Ms. R V Yajura Devi and Mr. Gautham Ram Vittal, Advocates

O R D E R
(Hearing through Hybrid Mode)

This is a Company Petition viz. CP(CAA)/38(CHE)/2024, which is sequel to the CA(CAA)/58(CHE)/2022, filed by the Liquidator of ***Cape Engineers Private Limited*** under Section 230 to 232 of the Companies Act, 2013 read with applicable provisions of the Insolvency and Bankruptcy Code, 2016 for sanction of a Scheme of Compromise/ Arrangement between Mr Azhagappan, a Shareholder of Cape Engineers Private Limited (In Liquidation) and its Creditors and Members.

2. Facts in Brief

The Corporate Insolvency Resolution Process *(hereinafter referred to as "CIRP")* of the Corporate Debtor viz. Cape Engineers Private Limited was initiated by this Tribunal on 06.09.2019 under the Application filed under Section 10 of IBC in IBA/785/2019,since no viable Resolution Plan in relation

to the Corporate Debtor was forthcoming, The liquidation order was passed against the corporate debtor vide order dated 25.04.2022 in IBA/785/2019 and the Applicant was appointed as the Liquidator of the Corporate debtor.

3. Scheme Approval Process

3.1 In order to explore the possibility of Comprise or Arrangement under Section 230 of the Companies Act and as per Regulation 2B of the Insolvency and Bankruptcy Code of India (Liquidation Process) Regulations, 2016 (hereinafter referred to as "IBBI Regulations, 2016"), the Liquidator made a Public Announcement dated as 03.05.2022 and fixed the last date for submission of the Scheme under Section 230 of the Companies Act, 2013 as 24.05.2022 which was extended till 08.06.2022. In consequence, the Applicant/ Liquidator received two Schemes from,

> (1*) Mr. N. Azhagappan the promoter of the corporate Debtor along with NTC Holdings Pvt Ltd. and*
>
> *2) Mr. S. Ramanathan & Mr. M. Karunanithi who are also the promoters and suspended Directors of the Corporate Debtor, for submitting a composite Scheme of Compromise and Arrangement ("Scheme") under section 230-232 of the Companies Act, 2013.*

3.2 On receipt of Schemes, the Liquidator filed an application CA/(CAA)/58/2022 before this Tribunal and sought for Convening the meeting under Section 230 of the Companies Act 2013. This Tribunal vide order dated 18.04.2024 directed to convene Stakeholders Committee meeting to consider and vote on the Schemes.

3.3 It is stated that on 25.04.2024, a public announcement was made in Form CAA2 in ***'Business Standard and Dinamani'*** dailies and the notice of the meeting was issued to the SCC members, and to the authorities the details of the notice issued by the liquidator as stated by the liquidator is extracted below,

III. AUTHORITIES TO WHOM NOTICES TO BE ISSUED:

S.NO.	STATUTORY AUTHORITY	REMARKS
1	Regional Director	rd.south@mca.gov.in
2	Registrar of Companies	roc.chennai@mca.gov.in
3	Official Liquidator	ol-chennai-mca@nic.in
4	Income Tax Authorities	tirunelveli.ito.tds@incometax.gov.in tirunelveli.dcit1@incometax.gov.in
5	Reserve Bank of India	NA
6	Competition Commission of India	NA
7	SEBI, NSE, BSE	NA
8	Other Sectoral Regulators - Specify	Commercial Tax Dept. - cto.nagerkoilrural@ctd.tn.gov.in EPFO - ro.nagercoil@epfindia.gov.in ESI - tirunelveli@esic.nic.in

IV. NEWSPAPER SUGGESTED FOR PUBLICATION IN THE FIRST MOTION:

1	Vernacular	Dinamani – Chennai Edition - Tamil
2	English	Business Standard – All India Edition – English

3.4 It is stated that based on the deliberations made in the 4th SCC Meeting dated 06.02.2024, the secured Financial Creditor (Canara Bank) requested the Scheme Proponents to make further improvement in their scheme. Therefore, the Liquidator vide e-mail dated 25.04.2024 requested both the scheme proponents to improve their offer and submit an improved scheme, if any, on or before 01.05.2024.

3.5 It is stated that the improved scheme was only received from Mr. S. Ramanathan & M. Karunanithi on 01.05.2024.

3.6 It is stated that the notice of the Stakeholders meeting and synopsis of the original and revised schemes were sent on 03.05.2024. It is stated that the details of the proposed meeting and the process to be followed was uploaded on the website of the corporate debtor.

3.7 This tribunal vide order dated 18.04.2024, directed that all the stakeholders except the Secured Financial Creditor shall be represented by the Authorized Representative (AR) and the relevant extract is as below,

c) Save the individual secured financial creditors, all the other stakeholders, be it financial creditors forming part of promoters or otherwise, the respective group of operational creditors, namely employees, statutory dues and other operational creditors and shareholders' shall be represented only by their respective Authorized Representative (AR) to be chosen for each class in the manner as contemplated under sub-section (6) and sub-section (6A) of Section 21 of IBC, 2016 read with Regulation 4A and Regulation 16A of IRPCP Regulations, 2016 as applicable during the CIRP of a Corporate Debtor. The exercise shall be completed by the Liquidator within a period of 15 days from the date of this Order.

3.8 The Authorised Representative for the class of creditors and other stakeholders as submitted by the liquidator is extracted below,

S. No	Class of Creditors	No.of Creditors	Name of Creditor	Authorised Representative
1	Unsecured Financial Creditor	1	Shree Ganesh EPC Pvt Ltd	Liquidator of SGEPL
2	OC - Employee	4	Ayyapan, Arivizhagan, Rizwan Ansari, Baghelu	CA Sudhir GS
3	OC- Government Dues	4	Income Tax, TDS, Commercial Tax, EPFO	B.Mekala
4	OC - Operational Creditor	1	Shree Ganesh EPC Pvt Ltd	Liquidator of SGEPL
5	Other Stakeholders	1	Azhagappan	S. Dehaleesan
	Total	**11**		

4. Approval of the Scheme

4.1 It is stated that the Stakeholder Meeting was held on 03.06.2024 and all the Stakeholders including the Canara Bank – Secured Financial Creditor and all ARs representing other stakeholders with 100% voting share participated in the meeting to vote on the two Schemes received from the following Scheme Proponents namely,

(1) Mr. S. Ramanathan along with Mr. M. Karunanithi,

(2) Mr. N. Azhagappan along with NTC Holdings Private Limited.

4.2 The details of the Stakeholders and their voting shares is extracted below,

S No	Class of Creditors	Name of the Creditor	Name of Representative Mr./Ms. from Chennai	Voting share
01	Secured Financial Creditors	Canara Bank	i. Sudharshan Joshi – Divisional Manager, Circle Office ii. Vasumathi – Manager iii. Mrutannjay Chakrabarthi – Officer	93.70%
02	Unsecured Financial Creditors	Shree Ganesh EPC Pvt. Ltd.	Liquidator of Shree Ganesh EPC Pvt. Ltd.	0.87%
03	Statutory Authorities	1. Income Tax Department 2. The Deputy Commissioner of CGST and Central Excise 3. State Tax Office 4. ESI-Tirunelveli 5. EPFO- Nagercoil	B. Mekala	3.55%
04	Operational Creditors - Supplier	Shree Ganesh EPC Pvt. Ltd.	Liquidator of Shree Ganesh EPC Pvt. Ltd.	0.96%
05	Operational Creditors – Employees	1. M. Ayyappan 2.G. Arivizhagan 3. Rijwan Ansari 4.S. Baghelu	CA. Sudhir GS	0.16%
06	Other Stakeholders	N. Azhagappan- Shareholder	S. Dehaleesan	0.76%
			Total	**100.00%**

4.3 As per the deliberations of the Financial Creditor to revise the Scheme, Mr. S. Ramanathan & Mr. M. Karunanithi submitted a Revised Scheme on 01.05.2024. In the revised scheme Proposer included Narayana Wind Power Private Limited as a Sponsor. It is stated that Mr. N. Azhagappan & NTC Holdings Private Limited did not submit any revised scheme and therefore, the scheme submitted by them on 17th August 2023 was considered as final.

4.4 It is stated that both the schemes were put to vote on 07.06.2024 and with 94.62% Majority the scheme submitted by Mr. N Azhagappan along with NTC Holding Private Limited was approved by the Stakeholders. The relevant portion of Chairman Report in respect of the Stakeholders meeting which approved the scheme is extracted herein,

The E-voting results received from the Scrutinizer of the **scheme proponent Mr. N. Azhagappan along with NTC Holdings Private Limited**

Sl. No.	Creditors Name	Voted in Favour	Voted against	Abstained from voting
1.	Canara bank	93.70	-	-
2.	Operational creditor - Government dues	-	3.55	-
3.	Other Stakeholders representative	0.76	-	-
4.	Employee Representative	0.16	-	-
5.	Operational Creditors - Supplier's Representative	-	-	0.96
6.	Unsecured Financial Creditor Representative	-	-	0.87
	TOTAL	**94.62**	**3.55**	**1.73**

5. Background of the Successful Scheme Proponent

Mr. N Azhagappan is one of the promoters of this CD and a shareholder. Mr. N Azhagappan along with his sponsor, NTC Holdings Private Limited has submitted the present scheme.

It is stated that, Mr. N. Azhagappan is one of the promoters of this CD and a shareholder. Mr. N. Azhagappan along with his sponsor, Rajalakshmi Limited has submitted the present composite scheme. Mr. N Azhagappan holds diploma in Mechanical Engineering and has more than 25 years of Industrial experience. During his terms as Director and CEO of the CD, the company has improved in its functioning and business steadily. He is also well known in the Wind Power Sector.

6. Rationale of the Scheme

The Rationale of scheme as contemplated in the scheme is extracted herein,

> *"This composite Scheme of Compromise and Arrangement of Cape Engineers Private Limited (in Liquidation) (hereinafter referred to as 'the Scheme') proposes the settlement and payment of dues of creditors of the Company: for the secured creditors, workmen and employees, unsecured creditors which includes operational creditors and statutory creditors as per their respective claims stated and ascertained by the Company Liquidator appointed under the provisions of IBC, 2016. The Scheme also proposes reconstruction of capital, reduction of share capital and infusion of fresh equity capital pursuant to Section 230 read with Sections 42, 62 and 66 and relevant provisions of the Companies Act, 2013."*

7. Source of Fund

7.1 It is stated that Rs.130 lakhs have already been provided by NTC Holdings Private Limited (Sponsor) in the form of Fixed Deposit which is available with the Liquidator;

7.2 It is stated that Rs. 20 Lakhs will be provided as Share Capital;

7.3 It is stated that the balance amount will be paid from the Trade Debtors of the Corporate Debtor within 120 days from the date of approval by this tribunal.

8. Settlement Proposed to the Stakeholders under the Scheme with Timelines.

8.1 Secured Creditors

It is stated that as per the creditors list as on 25.5.2022 submitted by the liquidator, there are no secured creditor in respect of the CD.

8.2 Unsecured Creditors

It is proposed in the scheme that out of the amount of Rs.34,78,78,231/-claimed by Canara Bank, a sum of Rs.2,00,00,000/- will be settled. Further it is proposed that an amount of Rs.1,30,00,000/- will be paid within 30 days from the effective date and another sum of Rs. 70,00,000/- will be paid within 120 days.

8.3 Statutory Creditors

It is stated that the amount outstanding for the statutory creditor as on 25.05.2022 is Rs. 131,73,650/- as per the list updated by the liquidator. The Settlement and Payment schedule which is agreed for the statutory creditors extracted herein below,

Creditor	Amount	Amount agreed to be paid	Timeline
Income Tax Department	1,22,00,726	10,00,000	Within 120 days from the days of approval
PF Authorities	8,95,424	8,95,424	Within 120 days from the days of approval
Sales Tax Department	77,500	6,347	Within 120 days from the days of approval

8.4 Workman and Employees

It is stated that sum of Rs. 6,14,408/- is due to employees which is proposed to be paid in full.

8.5 Operational Creditors

It is stated that as on 25.5.2022, Rs. 35,57,966/- is due to Shri Ganesh EPC Private Limited and same will not be paid.

8.6 Other Stakeholders

It is stated that the amount of Rs. 28,23,540/- is due as on 25.5.2022 for the contribution of the equity capital made by Mr. N Azhagappan as the shareholder and Scheme does not provide for any settlement.

9. Payment Schedule and Distribution to the Creditors

Particulars	**Admitted (Rs.)**	**Amount Provided in scheme (Rs.)**	**Payment Schedule**		**Percentage (%)**
			30 days	**120 days**	
Canara Bank (Unsecured FC)	34,78,78,231	2,00,00,000	1,30,00,000	70,00,000	5.74
SGEPL (Unsecured FC)	32,18,000	-	-	-	-
Income Tax Department	1,22,00,726	10,00,000	-	10,00,000	8.19
PF Authority	8,95,424	8,95,424	-	8,95,424	100.00
Sales Tax Department	77,500	6,347	-	6,347	8.19
Employee	6,14,408	6,14,408	6,14,408	-	100.00
Operational Creditors	35,57,966	-	-	-	-
Other Stakeholders	28,23,540	-	-	-	-
Liquidation Cost					
Total	**37,12,65,795**	**2,25,16,179**	**1,36,14,408**	**89,01,771**	

10. Implementation & Monitoring Committee

Monitoring committee shall be appointed to oversee the implementation of the scheme and it shall consist of the following,

i) The Liquidator shall be the Chairman of the Monitoring Committee
ii) A representative from the Successful Scheme Proponent and
iii) A Representative from the Secured Financial Creditor.

11. Financial Restructuring and Reduction of Equity Capital

It is stated that on approval of the scheme the financial restricting of the company shall be as Existing paid-up equity share capital of the Company shall be reduced from Rs. 1,00,00,000/- to Rs Nil.

The existing share capital Rs. 1,00,00,000/-, the credit/debit balance in the profit and loss account, the amount paid to Canara Bank for the guarantee invoked and all unpaid liability will be transferred to a Reconstruction account and set off against each other.

The aforesaid Reconstruction including reduction of capital as aforesaid shall be effected as an integral part of the scheme and in accordance with section 66 of the Act.

12. Second Motion Petition in Brief

The second motion application was filed by the petitioner on 17.06.2024 and this tribunal vide order dated 19.08.2024 directed the company to issue the notice herein under,

i) Notice of the hearing to be advertised in the newspapers viz., the "Business Standard – All India Edition" - English and "Dinamani – Chennai Edition"- Tamil not less than 10 days before the aforesaid date fixed for hearing.

ii) In addition to the above public notice, the Petitioners shall serve the notice of the Petition on the following Authorities namely, (a) Central Government through the office of the Regional Director (Southern Region), Ministry of Corporate Affairs (b) Registrar of

Companies, Chennai, (c) Official Liquidator, (d) Jurisdictional Income Tax Officer having jurisdiction over the respective companies indicating specifically their Permanent Account Number (PAN) in the communication, (e) Jurisdictional Commercial Taxes officer, (f) Jurisdictional Employees Provident Fund Organisation officer, (g) Jurisdictional Employees State Insurance Corporation officer and other Sectoral regulators, if any, who may govern the working of the respective companies involved in the Scheme at least 30 days before the date fixed for hearing of the above Petition.

iii) *Further, notice shall also be served to Objector(s) or to their representative, if any, as contemplated under Sub-Section (4) of Section 230 of the Act who may have made representation and who have desired to be heard in relation to their representation along with a copy of the Petition and the Annexures filed therewith at least 15 days before the date fixed for hearing.*

iv) *The Petitioner shall file an Affidavit of Service (7 days before the date of hearing of the Petition) in relation to paper publication effected as well as service of notices on the Authorities specified above.*

v) *Objections, if any, to the Scheme contemplated by the authorities to whom notices have been given on or before the date of hearing fixed herein may be filed, failing which it will be considered that there is no objection to the approval of the Scheme on the part of the authorities by this Tribunal and subject to other condition being satisfied as may be applicable under the Companies Act, 2013 and relevant rules framed thereunder.*

vi) *The Petitioner shall individually comply with proviso to sub section (3) of Section 232 or proviso to sub section (7) of Section 230, as may be applicable under the circumstances on or before the date fixed for hearing by filing the certificate of Company's auditor.*

13. Objections to the Present Scheme

The notice has been issued to authorities and on receipt of the said notice the following objections were filed against the approval of the Present scheme proposed by Mr. N Azhagappan along with NTC Holding Private Limited.

13.1 IA(CA)/161(CHE)/2024

13.1.1 This Application has been filed by the Objector Shareholders cum Suspended directors of Cape Engineers Private Limited for the purpose objecting the scheme.

13.1.2 It is stated by the objectors that they are objecting the scheme in the capacity of the shareholder, since the Scheme proposes for cancelling the entire shareholding of the Objector shareholders, thereby making their shareholding to Nil. It is stated that the scheme provides for selective extinguishment of the personal guarantee given by Mr N Azhagappan and causing prejudice to the objectors.

13.1.3 It is stated by the objector that Mr. N Azhagappan is a proponent of the scheme whereas the sponsor is NTC Logistics Private Limited and alleged that if the scheme is approved, the rights, shares & interests of the objectors would be extinguished and would cause irreparable loss in violation under section 230(7)(e) of the companies act 2013.

13.1.4 The Liquidator of the CD vide SR. No. 2894 dated 02.11.2024 filed the reply to the objection raised by the objectors and submitted that objectors do not have any locus standi to file objections to the Scheme, claiming to be the Shareholders of the Corporate Debtor. Objectors had failed to submit a claim before the Liquidator, as required by the Insolvency and Bankruptcy Code, 2016 ("Code") and Regulations thereunder. Owing to non-submission of claims within the stipulated time period, the objectors were not included in the list of stakeholders/ Stakeholders Consultation Committee ("SCC") formed by the Liquidator/ Respondent. It is stated that

Objector 1 and Objector 2 were also Scheme Proponents and their Scheme was rejected by the Stakeholders with 98.17% voting.

13.1.5 It is stated that by the Liquidator that, there is no violation under section 230(7)(e) of the company act 2013 as it provides exit for dissenting shareholder, whereas the objectors herein have not filed their claims on time and hence they were not considered in the Stakeholders Committee and lost their voting rights. Hence, they cannot be treated as dissenting shareholders and therefore violation under section 230(7)(e) doesn't not arise.

13.1.6 On perusal of record it is seen that the applicants have filed their claim on 24.05.2024 and the claim filed by the objector was rejected as it was filed belatedly. The relevant portion of the claim filed is extracted below,

FORM F

PROOF OF CLAIM BY ANYOTHER STAKE HOLDER

(Under Regulation 19 of the Insolvency and Bankruptcy Board of India(Voluntary Liquidation Process) Regulations,2017)

24.05.2024

To

TheLiquidator
Mr S .Rajendran
S. Rajendran & Associates
2nd Floor,Hari Krupa
73/1,Mc Nicholas Road
Chetpet, Chennai – 6000031

From

M.Karunanithi
13/93G-1,Madhava Nagar,Vadakoor
Thovalai-623302
Kanyakumari District

Subject :Submission of proof of claim in respect of the voluntary liquidation of **M/s.CAPE ENGINEERS PRIVATE LIMITED** under the Insolvency and Bankruptcy Code,2016.

Madam/Sir,

M.KARUNANITHI here by submit this proof of claim in respect of the liquidation in the case of **M/s.CAPE ENGINEERS PRIVATE LIMITED.** The details for the same are set out below:

1.	NAME OFSTAKE-HOLDER (IFAN INCORPORATED BODY PROVIDE IDENTIFICATION NUMBER AND PROOF OF INCORPORATION.IF A PARTNERSHIP OR INDIVIDUAL PROVIDE IDENTIFICATION RECORDS*OF ALLTHEPARTNERS OR THE INDIVIDUAL)	**M.KARUNANITHI** **DIN-008[illegible]717**
2.	ADDRESS AND EMAIL OF THE STAKEHOLDER FOR CORRESPONDENCE.	**13/93G-1,MADHAVA NAGAR,VADAKOOR,THOVALAI -629302.KANYAKUMARI DISTRICT, capekarunanithi@gmail.com**
3.	TOTAL AMOUNT OF CLAIM,INCLUDING ANY INTEREST AS AT LIQUIDATION COMMENCEMENT AND DETAILS OF NATURE OF CLAIM	**Rs.28,23,530**
4.	DETAILS OF HOW AND WHEN CLAIMA ROSE	-
5.	DETAILS OF ANY MUTUAL CREDIT,MUTUAL DEBTS,OROTHER MUTUAL DEALINGS BETWEEN THE CORPORATE PERSON AND THE OTHER STAKE HOLDER WHICH MAY BE SET-OFF AGAINST THE CLAIM	-
6.	DETAILS OFANY RETENTION OF TITLE IN RESPECT OF GOODS OR PROPERTIES TO WHICH THE CLAIM REFERS	-
7.	DETAILS OF ANY ASSIGNMENT OR TRANSFER OF DEBT IN HIS FAVOUR	-

FORM F

PROOF OF CLAIM BY ANYOTHER STAKE HOLDER

(Under Regulation 19 of the Insolvency and Bankruptcy Board of India(Voluntary Liquidation Process)Regulations,2017)

24.05.2024

To
TheLiquidator
Mr S Rajendran
S. Rajendran & Associates
2nd Floor,Hari Krupa
71/1,Mc Nicholas Road
Chetpet, Chennai – 6000031

From
S. Ramanathan
2/39,Thekoor,Theroor – 629704
Kanyakumari district

Subject : Submission of proof of claim in respect of the voluntary liquidation of **M/s. CAPE ENGINEERS PRIVATE LIMITED** under the Insolvency and Bankruptcy Code,2016.

Madam/Sir,

S.Ramanathan here by submit this proof of claim in respect of the liquidation in the case of **M/s. CAPE ENGINEERS PRIVATE LIMITED.** The details for the same are set out below:

1.	NAME OFSTAKE-HOLDER (IFAN INCORPORATED BODY PROVIDE IDENTIFICATION NUMBER AND PROOF OF INCORPORATION.IF A PARTNERSHIP OR INDIVIDUAL PROVIDE IDENTIFICATION RECORDS*OF ALLTHEPARTNERS OR THE INDIVIDUAL)	**S. Ramanathan** **DIN-01251518**
2.	ADDRESS AND EMAIL OF THE STAKEHOLDER FOR CORRESPONDENCE.	**2/39,Thekoor,Theroor - 629704,Kanyakumari District srspillai9@gmail.com**
3.	TOTAL AMOUNT OF CLAIM,INCLUDING ANY INTEREST AS AT LIQUIDATION COMMENCEMENT AND DETAILS OF NATURE OF CLAIM	**Rs.28,23,520**
4.	DETAILS OF HOW AND WHEN CLAIMA ROSE	-
5.	DETAILS OF ANY MUTUAL CREDIT,MUTUAL DEBTS,OROTHER MUTUAL DEALINGS BETWEEN THE CORPORATE PERS ON AND THE OTHER STAKE HOLDER WHICH MAY BE SET-OFF AGAINST THE CLAIM	-
6.	DETAILS OFANY RETENTION OF TITLE IN RESPECT OF GOODS OR PROPERTIES TO WHICH THE CLAIM REFERS	-
7.	DETAILS OF ANY ASSIGNMENT OR TRANSFER OF DEBT IN HIS FAVOUR	-
8.	DETAILS OF THE BANK ACCOUNT TO WHICH THE OTHER STAKEHOLDER'S SHARE OF THE PROCEEDS OF LIQUIDATION CAN BE TRANSFERRED	**SB ACCOUNT – 38727032639 STATE BANK OF INDIA ARALVAIMOZHI-629301 KANYAKUMARI DISTRICT**

13.1.7 The relevant portion of the claim rejected by the liquidator is extracted below,

Rejection of Claim against Cape Engineers Private Limited- M.Karunanithi

claims.cepl <claims.cepl@gmail.com> Thu, May 30, 2024 at 5:44 PM
To: KARUNANITHI M <capekarunanithi@gmail.com>
Cc: "S.Rajendran & Associates Company Secretaries" <cs.srajendran.associates@gmail.com>

Without Prejudice

Dear Sir,

Kind Attention: **Mr. M. Karunanithi,**

Ref. Form F dated 24-05-2024 received on 27-05-2024, Claimed amount = Rs.28,23,530/-

We hereby acknowledge the receipt of your claim in Form F (applicable to the voluntary liquidation process) on **27-05-2024(via courier)** by us.

This is to inform you that Cape Engineers Private Limited (CEPL) is under liquidation as per the order of Hon'ble National Company Law Tribunal, Chennai on 25-04-2022.

In accordance with the provisions of Sec. 38 of Insolvency and Bankruptcy Code, 2016, the claim as on the liquidation commencement date (25-04-2022) was to be submitted on or before 25-05-2022.

We would like to inform you that we received your claim on 27-05-2024 via courier, which is more than two years after the above-said date ie. 25-05-2022. **Hence, we are rejecting your Claim.**

We request to treat this matter as closed and please acknowledge the receipt of the same.

Regards,

S Rajendran
Liquidator
In the matter of Cape Engineers Private Limited

13.1.8 It is seen that the claim filed by the objectors is rejected as it is belatedly filed. The objectors had filed their claim on 27.05.2024, but the last date for submission of claim was on 25.05.2022. Hence the claim of the objector was rejected.

13.1.9 The objectors are the shareholders of the CD, holding 71.77% of the share capital as per the audited book of account. It is argued by the Liquidator, even assuming that the claims have been duly filed, the objectors voting share would be 1.90% in the SCC which may not affect the approval of the present scheme. The relevant portion of the voting share of the applicant is extracted below,

Name	Claimed (Amt. in Rs.)	Admitted (Amt. in Rs.)	% of Voting	% of Voting
Secured FC	34,78,78,321	34,78,78,231	93.70 %	91.92 %
Unsecured FC	32,18,000	32,18,000	0.87 %	0.85 %
OC [Employee]	2,73,158	6,14,408	0.17 %	0.16 %
OC [Govt. Due]	1,31,76,735	1,31,73,650	3.55 %	3.48 %
OC [Supplier]	35,57,966	35,57,966	0.96 %	0.94 %
Other Stakeholder –Equity Shareholder – N. Azhagappan	28,23,540	28,23,540	0.76 %	0.75 %
TOTAL	**37,09,27,630**	**37,12,65,795**	**100 %**	-
S. Ramanathan		28,23,520		0.75 %
M.Karunanithi		28,23,530		0.75 %
M.Arumugam		15,29,410		0.40 %
TOTAL		**37,84,42,255**		**100%**

13.1.10 On perusal of the above submissions this Tribunal is of the considered opinion that the contentions of the objectors to dismiss the Scheme doesn't have any merits as the objectors has not filed their claim within the stipulated timeline and consequently lost the opportunity to be part of the SCC.

13.1.11 The principle of ***'vigilantibus non dormientibus jura subveniunt' (The law assists the vigilant, not those who sleep)*** would squarely apply to the facts of the present case.

13.1.12 Even in case, if this Tribunal consider that the objectors have filed their claims within the stipulated timelines, their voting share would be 1.90% which may not substantially impact the approval of the scheme by the SCC.

13.1.13 Thus, this Tribunal is of the view that SCC has exercised its due diligence and rights under the commercial wisdom and we don't find the objections raised by the objectors substantive in nature to withhold the

scheme of the company in liquidation present before us. Accordingly, the contention of the objectors to dismiss the scheme doesn't survive and is dismissed.

14. Objections filed by the Income Tax Officer, TDS Ward, Tirunelveli (Statutory Authority)

The Income Tax Department to whom the notice was served, objected to the scheme and the relevant portion of the objection filed is extracted as below,

> *"With reference to the ibid notice of company petition, it is submitted that the objection of this office may please be placed on record as offered amount of Rs10,00,000/- as settlement against the admitted amount of Rs 1,22,00,726/(TDS due Rs 6064470 and Circle due Rs 6136256) is very meagre.*
> *It is also submitted that the operational creditor (Govt dues) voted against the scheme of compromise/Arrangement submitted by Mr N Azhagappan jointly with NTC Holdings Pvt Ltd."*

15. Observations of this Tribunal

15.1 Before adverting to the objections as raised by the Department in relation to the Scheme, it is to be borne in mind that this present Scheme is not filed purely under Section 230 of the Companies Act, 2013. The present Scheme is also governed under Insolvency and Bankruptcy Code, 2016 and the attendant Regulations framed thereunder.

15.2 The Hon'ble NCLAT after elaborately considering the provisions of the erstwhile provisions of Section 391 of the Companies Act, 1956 as well as the Section 230 of the Companies Act, 2013 and the precedents of the Hon'ble Supreme Court in relation to the powers vested in this Tribunal under the provisions of the Companies Act, 2013, given the manner to consider and deal with a Compromise or make Arrangement, that may be proposed with creditors and members of a company, including in relation to a company in liquidation, which directs the liquidator as contemplated in

para 8 in the matter of "***S.C. Sekaran v. Amit Gupta & Ors. in Company Appeal (AT) (Insolvency) Nos. 495 & 496 of 2018*** as follows;

> *"8. In view of the provision of Section 230 and the decision of the Hon'ble Supreme Court in 'Meghal Homes Pvt. Ltd.' and 'Swiss Ribbons Pvt. Ltd., we direct the 'Liquidator' to proceed in accordance with law. He will verify claims of all the creditors; take into custody and control of all the assets, property, effects and actionable claims of the 'corporate debtor', carry on the business of the 'corporate debtor' for its beneficial liquidation etc. as prescribed under, Section 35 of the I&B Code.*
>
> *Liquidator will access information under Section 33 and will consolidate the claim under Section 38 and after verification of claim in terms of Section 39 will either admit or reject the claim, as required under Section 40. Before taking steps to sell the assets of the 'corporate debtor(s)' (companies herein), the Liquidator will take steps in terms of Section 230 of the Companies Act,2013. The Adjudicating Authority, if so required, will pass appropriate order. of revival, the Adjudicating Authority and the Liquidator will first proceed with the sale of company's assets wholly and thereafter, if not possible to sell the company in part and in accordance with law."*

15.3 Further, the Hon'ble NCLAT in the matter of ***"Y. Shivram Prasad -Vs- S. Dhanapal & Ors. in Company Appeal (AT)(Ins.) No. 224 of 2018"*** issued guidelines on how to proceed, if a Scheme is contemplated under Section 230 of the Companies Act, 2013 gets placed before this Tribunal in relation to a Company in liquidation under IBC, 2016 and in para 18 and 19 held as follows;

> *"18. During proceeding under Section 230, if any, objection is raised, it is open to the Adjudicating Authority (National Company Law Tribunal) which has power to pass order under Section 230 to overrule the objections, if the arrangement and scheme is beneficial for revival of the 'Corporate Debtor' (Company). While passing such order, the Adjudicating Authority is to play dual role, one as the Adjudicating Authority in the matter of liquidation and other as a Tribunal for passing order under Section 230 of the Companies Act, 2013. As the liquidation so taken up under the 'I&B Code', the arrangement of scheme should be in consonance with the statement and object of the 'I&B Code'. Meaning thereby, the scheme must ensure maximisation of the assets of the 'Corporate Debtor' and balance the stakeholders such as, the 'Financial*

Creditors', 'Operational Creditors', 'Secured Creditors' and 'Unsecured Creditors' without any discrimination. Before approval of an arrangement or scheme the adjudicating authority should follow the same principles principle and should allow the 'Liquidator' to constitute a 'Committee of Creditors' for its opinion to find out whether the arrangement of Scheme is viable, feasible and having appropriate financial matrix. It will be open for the Adjudicating Authority as a Tribunal to approve the arrangement or Scheme in spite of some irrelevant objections as may be raised by one or other creditor or member keeping in mind the object of the Insolvency and Bankruptcy Code, 2016.

19. In view of the observations aforesaid, we hold that the liquidator is required to act in terms of the aforesaid directions of the Appellate Tribunal and take steps under Section 230 of the Companies Act. If the members or the 'Corporate Debtor' or the 'creditors' or a class of creditors like 'Financial Creditor' or 'Operational Creditor' approach the company through the liquidator for compromise or arrangement by making proposal of payment to all the creditors), the Liquidator on behalf of the company will move an application under Section 230 of the Companies Act, 2013 before the Adjudicating Authority i.e. National Company Law Tribunal, Chennai Bench, in terms of the observations as made in above. On failure, as observed above, steps should be taken for outright sale of the 'Corporate Debtor' so as to enable the employees to continue."

15.4 Thus, in relation to the scheme proposed under Section 230 of the Companies Act, 2013 during the Liquidation of the Corporate Debtor, the Hon'ble NCLAT held that this Tribunal is required to play dual role, one as the Adjudicating Authority in the matter of liquidation and other a Tribunal for passing order under Section 230 of the Companies Act, 2013. Accordingly, this Tribunal has put in its logical attempts and efforts in combining the provisions of these two statutes in perfect harmony.

15.5 Thus, it is a settled law that so long as the provisions of the Code and the Regulations have been met, it is the commercial wisdom of the requisite majority of the Stakeholders/ SCC, which is to negotiate and accept a scheme in liquidation, which may involve differential payment to different classes of creditors and distribution of amounts between different classes of creditors.

Hence for the said reasons, the objections made by the Statutory Authorities viz. Income Tax are not sustainable as the company is in liquidation and there is an attempt made for revival of the corporate debtor. Having considered the commercial wisdom of the SCC and scheme being approved and passing the muster of majority, this Tribunal is inclined towards approving the scheme with the larger picture of reviving the corporate debtor.

16. During the Implementation Period, the Liquidator shall act as the Chairman of the Monitoring Committee and the members of the Stakeholders Committee shall nominate representatives/ form part of the Monitoring Committee till the period of completion and full implementation of the Scheme.

17. While approving the Scheme as above, it is clarified that, this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law from the date of this order (Effective date).

18. Thus, the ***Scheme of Compromise or Arrangement of Mr N Azhagappan and NTC Holding Private Limited*** is hereby approved and is binding on the Corporate Debtor viz. ***Cape Engineers Private Limited*** and all other stakeholders involved.

19. Accordingly, the objection filed by the shareholder in ***IA/CA/161(CHE)/2024*** is ***Dismissed and Disposed of***.

20. The Liquidator is directed to file the certified copy of this order to the Registrar of Companies concerned for registration. As a Consequence, thereof, ***CP(CAA)/38(CHE)/2024*** stands ***Allowed and Disposed of.***

-Sd/-	**-Sd/-**
RAVICHANDRAN RAMASAMY	**JYOTI KUMAR TRIPATHI**
MEMBER (TECHNICAL)	MEMBER (JUDICIAL)